Misinformation as Lemons: How Credibility Unravels on Social Media

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November 4, 2026

Preliminary draft. Please do not cite or circulate.

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Abstract

This paper studies how adverse selection affects the production and amplification of misinformation on social networks. We develop an empirical framework featuring selection both on the credibility of producers and on amplifiers' demand for it. We then micro-found the latter in a network sharing game and highlight two network features: reciprocity and overlap. Empirically, we collect viral posts about the 2022 mpox outbreak on Twitter and develop a large-language-model protocol that scales tweet-level fact-checking with high alignment with human judgment. Our empirical tests are consistent with adverse selection in both production and amplification margins within reciprocal and high-overlap networks, and advantageous selection in one-way and diverse (low-overlap) networks.